| | | |
|---|---|---|
| 3. Preparation of Trial Balance | Trial balance is not prepared but the totals of certain accounts are noted. | Trial Balance must be prepared at the end of the period. |
| 4. Verification of assets and liabilities | Assets and liabilities are verified after the preparation of the balance sheet at the end of the accounting year. | Assets and liabilities are verified when the audit work is conducted. |

## SUMMARY

The present unit discussed about the types of audit with their advantages and disadvantages. It also presented the difference between Continuous Audit and Annual Audit and Interim Audit and Continuous Audit.

## KEY TERMS

- **Continuous Audit:** Continuous audit implies a detailed examination of all the transactions by the Auditor continuously throughout the year. At the end of financial period, the auditor checks the financial accounts.
- **Annual or Periodical audit:** Annual or Periodical audit is done at the close of financial period after the final accounts are prepared.
- **Interim Audit:** Interim audit is conducted between two annual audits to find out interim profits to enable the company to declare an interim dividend.
- **Occasional Audit:** Occasional audit is conducted as a special event, normally in those organisations when routine audit are not taken place.
- **Standard Audit:** Standard Audit refers to detailed checking and analysis of certain transactions only and the remaining transactions are subjected to sample checking provided there is a good and effective system of internal check in operation.
- **Balance Sheet Audit:** Auditor verifies the balance sheet items such as capital, liabilities, reserves and provisions, assets and other items given in the balance sheet.
- **Post and Vouch Audit:** Post and Vouch audit refers to verification of all transactions from books of original entry and its posting in the ledger.



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